

Changes in working capital - Explanation

Creditors

Creditors			Creditors		
	O/B	10 000		O/B	10 000
	Stationary	8 100		Stationary	8 100
Bank	8 700		Bank	7 950	
C/B	9 400		C/B	10 150	

Calculations:			Calculations:		
Cash paid to suppliers and employees			Cash paid to suppliers and employees		
Income		50 000	Income		50 000
PBT	14 700		PBT	14 700	
Expenses	35 300		Expenses	35 300	
(balancing)			(balancing)		
Expenses		(35 300)	Expenses		(35 300)
Adjust for Changes in working capital:			Adjust for Changes in working capital:		

Creditors

Creditors			Creditors		
	O/B	10 000		O/B	10 000
	Stationary	8 100		Stationary	8 100
Bank	8 700		Bank	7 950	
C/B	9 400		C/B	10 150	

Calculations:			Calculations:		
Cash paid to suppliers and employees			Cash paid to suppliers and employees		
Income		50 000	Income		50 000
PBT	14 700		PBT	14 700	
Expenses	35 300		Expenses	35 300	
(balancing)	[included is stationary expense of (8 100) BUT cash paid was actually (8 700)]		(balancing)	[included is stationary expense of (8 100) BUT cash paid was actually (7 950)]	
Expenses		(35 300)	Expenses		(35 300)
Adjust for Changes in working capital:			Adjust for Changes in working capital:		
Decrease in creditors	(600)		Increase in creditors	150	
	[decrease in creditors have a bracket to increase the cash expense from (8 100) to (8 700)]			[increase in creditors does not have a bracket to decrease the cash expense from (8 100) to (7 950)]	
		(35 900)			(35 150)

Changes in working capital - Explanation

Inventory

Inventory			
O/B	15 000		
Bank	800	COS	1 000
		C/B	14 800

Calculations:

Cash paid to suppliers and employees

Income		50 000
PBT	14 700	
Expenses	35 300	
(balancing)		

Expenses (35 300)
Adjust for Changes in working capital:

Inventory			
O/B	15 000		
Bank	800	COS	340
		C/B	15 460

Calculations:

Cash paid to suppliers and employees

Income		50 000
PBT	14 700	
Expenses	35 300	
(balancing)		

Expenses (35 300)
Adjust for Changes in working capital:

Inventory

Inventory			
O/B	15 000		
Bank	800	COS	1 000
		C/B	14 800

Calculations:

Cash paid to suppliers and employees

Income		50 000
PBT	14 700	
Expenses	35 300	
(balancing)		

Expenses (35 300)
Adjust for Changes in working capital:
[included is COS
of (1 000) BUT
cash paid was
actually (800)]

Decrease in inventory 200
[decrease in inventory
does not have a bracket
to decrease the cash
expense from (1 000)
to (8 00)]
(35 100)

Inventory			
O/B	15 000		
Bank	800	COS	340
		C/B	15 460

Calculations:

Cash paid to suppliers and employees

Income		50 000
PBT	14 700	
Expenses	35 300	
(balancing)		

Expenses (35 300)
Adjust for Changes in working capital:
[included is COS
of (340) BUT
cash paid was
actually (800)]

Increase in inventory (460)
[increase in inventory
have a bracket
to increase the cash
expense from (340)
to (8 00)]
(35 760)

Changes in working capital - Explanation

Debtors

Debtors			
O/B	1 700		
Sales	80	Bank	180
		C/B	1 600

Calculations:

Cash receipts from customers

Income 50 000

Adjust for Changes in working capital:

Debtors			
O/B	1 700		
Sales	80	Bank	30
		C/B	1 750

Calculations:

Cash receipts from customers

Income 50 000

Adjust for Changes in working capital:

Debtors

Debtors			
O/B	1 700		
Sales	80	Bank	180
		C/B	1 600

Calculations:

Cash receipts from customers

Income 50 000

[included is Sales
of 80 BUT
cash received was
actually 180]

Adjust for Changes in working capital:

Decrease in debtors	100
[decrease in debtors does not have a bracket to increase the cash receipts from 80 to 180]	
	<u>50 100</u>

Debtors			
O/B	1 700		
Sales	80	Bank	30
		C/B	1 750

Calculations:

Cash receipts from customers

Income 50 000

[included is Sales
of 80 BUT
cash received was
actually 30]

Adjust for Changes in working capital:

Increase in debtors	(50)
[increase in debtors have a bracket to decrease the cash receipts from 80 to 30]	
	<u>49 950</u>